1. Sectors of an Economy

- **Household Sector (Consumers)**
- **Firms (Producers)**
- **Government Sector (Government)**
- **External Sector (Rest of the world or abroad)**

2. Circular Flow of Income

- **Definition:** It refers to the circular flow of income in the production process. Income is generated by households from firms, and they also spend their income in the form of consumption expenditure to firms.
- **Phases:**
  - Generation Phase
  - Distribution Phase
  - Disposition Phase

3. Types of Flows

Real Flow (Physical Flow)

- Flow of factor services from households to firms.
- Flow of goods and services from firms to households.
- Measures production volume and determines economic growth.

Money Flow (Nominal Flow)

- Flow of money from firms to households (factor payments).
- Flow of money from households to firms (consumption expenditure).
- Measures the flow of money supply in the economy.

4. Stock vs. Flow

Feature	Stock	Flow
Meaning	Variable measured at a particular point in time.	Variable measured over a period of time.
Time Dimension	Not time-dimensional (e.g., as of 31st March).	Time-dimensional (e.g., per year, per month).
Nature	Static concept.	Dynamic concept.
Examples	Wealth, capital, population on a specific date, bank deposits, stock of water in a tank.	Income, consumption, savings, production, GDP, investment, profit/loss, flow of water from a tank.

5. Classification of Goods

Final Goods

- Goods finally produced and ready for use by their final users (consumers or producers).
- **Consumer Final Goods:** Used by consumers (e.g., clothes, food). Expenditure is called Final Consumption Expenditure.
- **Producer Final Goods (Capital Goods):** Used by producers for investment (e.g., plant and machinery). Expenditure is called Investment Expenditure.
- Expenditure on final goods = Consumption Exp. + Investment Exp.
- Included in National Income.

Intermediate Goods

- Goods not yet ready for use by their final user; purchased by one firm from another.
- Used as raw materials or for resale.
- Examples: Wood for making chairs, shirts purchased for resale.
- Value is ultimately included in final goods; hence, not separately included in National Income to avoid double counting.

Consumption/Consumer Goods

- Directly used for satisfaction of human wants.
- Final users: Consumers, Government, NGOs.
- Categories:
  - **Durable Goods:** Last for several years (e.g., car).
  - **Semi-Durable Goods:** Last for a limited period (e.g., clothes).
  - **Non-Durable Goods:** Used up in a single act of consumption (e.g., food).
  - **Services:** Non-material goods (e.g., doctor's visit).

Capital Goods

- Used in the production process for several years and are of high value.
- Fixed assets of producers (e.g., plant and machinery).
- Note: Not all machines are capital goods (e.g., a sewing machine used by a tailor is capital, but one used by a housewife for personal use is a consumer durable).

6. Final Goods vs. Intermediate Goods

Feature	Final Goods	Intermediate Goods
Meaning	Ready for use by final users.	Not ready for use by final users; purchased for raw material or resale.
Purpose	Consumption or investment.	Used in production process as raw material or for resale.
Value Addition	No value addition required.	Value still needs to be added.
National Income	Included in both domestic and national income.	Not included in domestic or national income.
Production Boundary	Have crossed the production boundary.	Are within the production boundary.
Example	Milk purchased by household, machinery purchased for investment.	Milk purchased by a biscuit company, milk purchased by a dairy shop for resale.

7. GDP Deflator and Real/Nominal GDP

Real GDP

- GDP measured at base year prices.
- Inflation-adjusted GDP.
- True indicator of economic growth and welfare.

Nominal GDP

- GDP measured at current year prices.
- Not adjusted for inflation.
- Not a true indicator of economic growth and welfare.

GDP Deflator / Price Index

- Measures the change in the average level of prices of all goods and services that make up GDP.
- Formula: $\text{Price index or GDP Deflator} = \frac{\text{Nominal GDP}}{\text{Real GDP}} \times 100$

8. Depreciation vs. Capital Loss

Feature	Depreciation	Capital Loss
Meaning	Fall in value of fixed assets due to normal wear and tear, passage of time, or expected obsolescence.	Loss in value of fixed assets due to unforeseen obsolescence, natural calamities, thefts, accidents, etc.
Provision for Loss	Provision is made for replacement of assets as it is an expected loss.	No such provision is made as it is an unexpected loss.
Production Process	Does not hamper the production process.	Hampers the production process.

9. Domestic Territory and National Income

Domestic Territory (Economic Territory)

- Area of economic activity that generates domestic income.
- Includes:
  - Ships and aircrafts operated by residents between two or more countries.
  - Fishing vessels, oil rigs, and floating platforms operated by residents in international waters.
  - Embassies, consulates, and military establishments of the country located abroad.
- Does NOT include:
  - Embassies and military establishments of a foreign country within India.
  - International organizations (e.g., UNO, WHO) located within the geographical boundaries of a country.

National Income

- Sum total of income of only the normal residents of a country.

10. GDP and Welfare - Exceptions

- **Distribution of GDP:** Unequal distribution can lead to lower welfare despite high GDP.
- **Composition of GDP:** High GDP due to production of harmful goods (e.g., weapons) may not increase welfare.
- **Non-Monetary Exchanges (Barter System):** Goods/services exchanged without money are not included in GDP, underestimating welfare.
- **Externalities:** Positive or negative impacts of economic activities not accounted for in market prices (e.g., pollution reduces welfare but isn't subtracted from GDP).

11. Precautions for National Income Estimation

Production Method (Value Added Method)

- Value of sale and purchase of second-hand goods is **not included** (already accounted for).
- Commission earned on sale/purchase of second-hand goods is **included** (new service).
- Own-account production of goods for self-consumption is **included** (like market goods).
- Value of intermediate goods is **not included** (to avoid double counting).
- Change in stock (increase in stock) is **included** (part of capital formation).
- Services for self-consumption (e.g., housewife's services) are **not included** (difficult to estimate market value).
- To avoid double counting, use value added or value of final products only.

Income Method

- Transfer earnings (pensions, scholarships, etc.) are **not included** (no value addition).
- Income from illegal activities (smuggling, gambling) is **not included**.
- Income from sale of second-hand goods is **not included**, but commission on their sale is **included**.
- Income from sale of financial assets (shares, bonds) is **not included** (no production of goods/services). Brokerage/commission on these is **included**.
- Imputed rent of owner-occupied houses is **included**.

Expenditure Method

- Expenditure on intermediate goods and services is **not included** (to avoid double counting).
- Imputed expenditure on self-consumed or own-account produced output is **included**.
- Expenditure on transfer payments (gifts, subsidies) is **not included** (no goods/services in return).
- Expenditure on financial assets is **not included**, but brokerage/service charges are **included**.
- Expenditure on second-hand goods is **not included**, but commission/brokerage paid to intermediaries is **included**.